

1. Business Vision and Mission

Vision and mission are the foundation of strategic management. They provide direction to an organisation and help managers formulate strategies and objectives.

1. Business Vision

Meaning of Vision

A vision statement describes what an organisation wants to become in the future. It represents the organisation's desired long-term position.

Simple Definition

Vision is a clear statement of the organisation's desired future state or long-term aspiration.

Example

A company's vision may be:

"To become the most trusted and innovative financial services provider in the country."

This tells employees where the organisation wants to go in the future.

Characteristics of a Good Vision

A good vision should be:

1. **Future-oriented** – Focuses on the desired future.
 2. **Clear** – Easy to understand.
 3. **Concise** – Short and memorable.
 4. **Inspiring** – Motivates employees.
 5. **Realistic** – Achievable with effort.
 6. **Ambitious** – Encourages growth.
 7. **Unique** – Reflects the organisation's identity.
 8. **Stable** – Should remain relevant for a long period.
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2. Business Mission

Meaning of Mission

A mission statement explains the organisation's present purpose, what it does, whom it serves, and how it creates value.

Simple Definition

A mission statement explains why an organisation exists and what it does to achieve its purpose.

Example

"To provide reliable, affordable, and innovative financial services that improve the financial well-being of our customers."

Vision vs Mission

Vision	Mission
Describes the future	Describes the present
Answers "Where do we want to go?"	Answers "Why do we exist?"
Future-oriented	Present-oriented
Provides direction	Defines purpose
Inspires employees	Guides daily activities

Easy Memory Trick

Vision = Where we want to be

Mission = Why we exist and what we do

3. Process of Developing Vision and Mission

The development of vision and mission involves several steps.

Step 1: Analyse the Organisation

Understand:

- Current position
- Strengths
- Weaknesses

- Resources
 - Capabilities
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Step 2: Identify Core Values

Determine the principles that guide the organisation.

Examples:

- Integrity
 - Customer focus
 - Innovation
 - Quality
 - Sustainability
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Step 3: Identify Stakeholders

Consider the expectations of:

- Customers
 - Employees
 - Shareholders
 - Suppliers
 - Government
 - Society
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Step 4: Develop the Vision

Define the desired future position of the organisation.

Ask:

"What do we want to become?"

Step 5: Develop the Mission

Define:

- What the organisation does
 - Who it serves
 - What products/services it provides
 - How it creates value
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Step 6: Consult Key Stakeholders

Management should collect feedback from:

- Employees
 - Managers
 - Customers
 - Other stakeholders
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Step 7: Communicate the Vision and Mission

The statements should be clearly communicated to all employees.

Step 8: Review and Update

Vision and mission should be reviewed when there are major changes in:

- Business environment
 - Technology
 - Customer needs
 - Industry conditions
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4. Importance of Vision and Mission Statements

1. Provide Direction

They guide the organisation toward common goals.

2. Support Strategic Planning

They provide the foundation for developing strategies and objectives.

3. Motivate Employees

A clear vision gives employees a sense of purpose.

4. Improve Decision-Making

Managers can evaluate decisions based on organisational purpose.

5. Create Unity

They align employees and departments toward common objectives.

6. Communicate Organisational Purpose

They explain the organisation's purpose to stakeholders.

7. Support Resource Allocation

Resources can be allocated according to strategic priorities.

8. Build Organisational Identity

They help establish the organisation's image and values.

5. Characteristics of a Mission Statement

A good mission statement should answer key questions about the organisation.

According to the strategic management approach, a mission statement may address:

- 1. Customers – Who are our customers?**
- 2. Products or services – What do we provide?**
- 3. Markets – Where do we operate?**
- 4. Technology – What technology do we use?**
- 5. Survival and growth – Are we committed to long-term growth?**
- 6. Philosophy – What are our values and beliefs?**
- 7. Self-concept – What are our core competencies?**
- 8. Public image – What responsibility do we have toward society?**
- 9. Employees – How do we value our employees?**

Characteristics

A good mission should be:

- Clear**
- Concise**

- **Specific**
 - **Realistic**
 - **Inspiring**
 - **Customer-oriented**
 - **Distinctive**
 - **Flexible**
 - **Long-term focused**
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6. Long-Term Objectives

Meaning

Long-term objectives are specific results that an organisation aims to achieve over an extended period, usually three to five years or more.

They translate the organisation's mission and vision into measurable goals.

Examples

- **Increase market share by 15% within five years.**
 - **Expand into five new countries.**
 - **Achieve a specific level of profitability.**
 - **Become a market leader.**
 - **Develop new products.**
 - **Reduce operating costs.**
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Characteristics of Long-Term Objectives

Good objectives should be:

S – Specific

Clearly defined.

M – Measurable

Progress can be measured.

A – Achievable

Realistic and attainable.

R – Relevant

Connected to organisational strategy.

T – Time-bound

Have a specific time frame.

Importance of Long-Term Objectives

They:

- **Provide direction**
 - **Help measure performance**
 - **Support strategy formulation**
 - **Improve coordination**
 - **Motivate employees**
 - **Help allocate resources**
 - **Provide standards for evaluation**
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7. Types of Strategies

Strategies can be classified into several categories.

Major Strategic Categories

- 1. Integration Strategies**
 - 2. Intensive Strategies**
 - 3. Diversification Strategies**
 - 4. Defensive Strategies**
 - 5. Porter's Generic Strategies**
 - 6. Blue Ocean Strategy**
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8. Levels of Strategy

There are generally three major levels of strategy.

1. Corporate-Level Strategy

This is the highest level of strategy.

It determines:

- **Which businesses should the organisation enter?**
- **Which businesses should it leave?**
- **How should resources be allocated?**

Examples

- **Diversification**
- **Vertical integration**
- **Mergers**
- **Acquisitions**

Example

A business group operating in banking, insurance, technology, and retail is making corporate-level strategic decisions.

2. Business-Level Strategy

Business-level strategy determines how a business competes in a particular industry or market.

Major strategies include:

- **Cost leadership**
 - **Differentiation**
 - **Focus**
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3. Functional-Level Strategy

Functional strategies are developed by individual departments.

Examples:

Marketing Strategy

- **Advertising**
- **Pricing**

- **Distribution**

HR Strategy

- **Recruitment**
- **Training**
- **Employee retention**

Finance Strategy

- **Investment**
- **Capital structure**

Operations Strategy

- **Quality**
 - **Production**
 - **Efficiency**
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Strategy Levels – Summary

Corporate Level

↓ **What businesses should we be in?**

Business Level

↓ **How should we compete?**

Functional Level

↓ **How should each department support the strategy?**

9. Integration Strategies

Integration strategies involve expanding control over different stages of the supply chain or value chain.

There are three major types.

1. Forward Integration

Forward integration means gaining greater control over distributors or retailers.

Example

A manufacturer opens its own retail stores.

Purpose

- **Reduce distribution costs**
 - **Improve customer access**
 - **Control distribution**
 - **Increase profit margins**
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2. Backward Integration

Backward integration means gaining control over suppliers.

Example

A car manufacturer purchases a company that produces car components.

Purpose

- **Secure supply**
 - **Reduce input costs**
 - **Improve quality**
 - **Reduce supplier dependence**
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3. Horizontal Integration

Horizontal integration means acquiring or merging with competitors at the same level of the industry.

Example

One bank acquiring another bank.

Purpose

- **Increase market share**
- **Reduce competition**
- **Achieve economies of scale**
- **Expand customer base**

10. Intensive Strategies

Intensive strategies aim to improve an organisation's position in its existing markets or products.

The three major intensive strategies are:

- 1. Market Penetration**
 - 2. Market Development**
 - 3. Product Development**
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1. Market Penetration

The organisation tries to increase the market share of existing products in existing markets.

Methods

- Advertising**
- Price discounts**
- Promotions**
- Improving customer service**

Example

A telecom company offers cheaper data plans to attract customers from competitors.

2. Market Development

The organisation introduces existing products into new markets.

New markets may include:

- New geographical regions**
- New customer segments**

Example

An Indian company expands its existing product into the European market.

3. Product Development

The organisation introduces new or improved products to existing markets.

Example

A smartphone company launches a new model for its existing customer base.

11. Diversification Strategies

Diversification means entering new products or new markets.

There are two major types.

1. Related Diversification

The organisation enters a new business that is related to its existing business.

Example

A smartphone company starts producing smartwatches.

Advantages

- **Uses existing capabilities**
 - **Shares resources**
 - **Creates synergies**
 - **Reduces costs**
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2. Unrelated Diversification

The organisation enters a completely different business.

Example

A company operating in automobiles enters the hotel industry.

Advantages

- **Spreads business risk**
 - **Provides new sources of revenue**
 - **Reduces dependence on one industry**
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12. Defensive Strategies

Defensive strategies are used when an organisation wants to reduce risk, restructure operations, or survive difficult conditions.

Major defensive strategies include:

- 1. Retrenchment**
 - 2. Divestiture**
 - 3. Liquidation**
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1. Retrenchment

Retrenchment involves reducing the size or cost of operations.

Methods

- Cost reduction**
- Workforce reduction**
- Closing unprofitable units**
- Reducing product lines**

Objective

To improve efficiency and restore profitability.

2. Divestiture

Divestiture means selling a division, business unit, or subsidiary.

Reasons

- The unit is not profitable.**
 - It does not fit the core strategy.**
 - The organisation needs funds.**
 - Management wants to focus on core businesses.**
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3. Liquidation

Liquidation means selling the organisation's assets and closing the business.

It is usually considered the last resort.

Example

A company facing continuous losses sells its assets and permanently shuts down.

13. Porter's Generic Strategies

Michael Porter identified three major strategies for achieving competitive advantage:

- 1. Cost Leadership**
- 2. Differentiation**
- 3. Focus**

The Focus strategy is divided into:

- Cost Focus**
 - Differentiation Focus**
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1. Cost Leadership

The organisation aims to become the lowest-cost producer in the industry.

Methods

- Economies of scale**
- Efficient operations**
- Cost control**
- Efficient supply chain**
- Automation**

Example

A retailer offers products at low prices because of efficient operations and large-scale purchasing.

Advantages

- Attract price-sensitive customers**
 - Higher margins**
 - Better position against competitors**
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2. Differentiation

The organisation offers products or services perceived as unique or superior.

Differentiation may be based on:

- **Quality**
- **Design**
- **Technology**
- **Brand**
- **Customer service**
- **Innovation**

Example

A premium technology company differentiates itself through product design and ecosystem.

3. Cost Focus

The organisation targets a specific market segment and aims to become the lowest-cost provider within that segment.

Example

A company offers low-cost products specifically for budget-conscious students.

4. Differentiation Focus

The organisation targets a specific market segment and provides a highly differentiated product or service.

Example

A luxury brand targets high-income customers with exclusive products.

14. Blue Ocean Strategy

Meaning

Blue Ocean Strategy is a strategic approach developed by W. Chan Kim and Renée Mauborgne.

It focuses on creating new, uncontested market spaces rather than competing directly in existing markets.

Red Ocean

Represents existing competitive markets where organisations compete for existing customers.

Blue Ocean

Represents new market spaces where competition is less relevant because the organisation creates new demand.

Red Ocean vs Blue Ocean

Red Ocean	Blue Ocean
Existing market	New market space
High competition	Limited competition
Compete for existing demand	Create new demand
Focus on beating competitors	Make competition less relevant
Usually trade-off between value and cost	Pursues value innovation

Value Innovation

Value innovation is the central concept of Blue Ocean Strategy.

It means simultaneously pursuing:

Higher Customer Value + Lower Cost

The organisation seeks to provide customers with greater value while reducing unnecessary costs.

Four Actions Framework

Blue Ocean Strategy uses four key questions:

1. Eliminate

Which factors should be eliminated because they no longer provide value?

2. Reduce

Which factors should be reduced below industry standards?

3. Raise

Which factors should be raised above industry standards?

4. Create

Which new factors should be created that the industry has never offered?

Example

Suppose a traditional industry offers:

- **High price**
- **Complex features**
- **Expensive distribution**
- **Limited convenience**

A new company may:

- **Eliminate unnecessary features**
- **Reduce costs**
- **Increase convenience**
- **Create a simple digital service**

This can create a new market space.

15. Strategic Decision Making

Meaning

Strategic decision-making is the process of making long-term decisions that determine the direction, scope, and future performance of an organisation.

Strategic decisions are usually made by top-level management, although managers at different levels may participate.

Characteristics of Strategic Decisions

1. Long-Term Impact

They affect the organisation for many years.

2. High Risk

Strategic decisions often involve uncertainty.

3. Large Resource Commitment

They may require significant financial and human resources.

4. Organisation-Wide Impact

They affect multiple departments.

5. Future-Oriented

They focus on future growth and competitiveness.

6. Difficult to Reverse

Strategic decisions are often costly and difficult to change.

Strategic Decision-Making Process

Step 1: Identify the Problem or Opportunity

Recognise the need for a strategic decision.

Step 2: Gather Information

Collect information about:

- **Internal environment**
- **External environment**
- **Competitors**
- **Customers**
- **Technology**

Step 3: Analyse the Situation

Use tools such as:

- **SWOT Analysis**
- **PESTLE Analysis**
- **Porter's Five Forces**
- **Value Chain Analysis**

Step 4: Identify Alternatives

Develop possible strategic options.

Step 5: Evaluate Alternatives

Evaluate each option based on:

- **Cost**
- **Risk**
- **Resources**
- **Feasibility**
- **Expected benefits**

Step 6: Select the Best Strategy

Choose the strategy that best supports organisational objectives.

Step 7: Implement the Strategy

Allocate:

- **Resources**
- **Responsibilities**
- **Budgets**
- **Timelines**

Step 8: Evaluate and Control

Monitor results and make necessary changes.

16. Factors Affecting Strategic Decision Making

Strategic decisions are influenced by:

1. Organisational Resources

Availability of finance, employees, technology, etc.

2. External Environment

Competition, economy, government regulations, technology.

3. Organisational Culture

Values and beliefs influence decision-making.

4. Leadership

Leadership style affects strategic choices.

5. Risk

Managers must consider uncertainty.

6. Stakeholders

Customers, employees, shareholders, government, and society influence decisions.

7. Time

Urgent situations may require quick decisions.

8. Availability of Information

Better information generally leads to better decisions.

17. Integrated Strategy Framework

The concepts can be understood in the following sequence:

Vision



Where do we want to go?

Mission



Why do we exist?

Long-Term Objectives



What specific results do we want?

Strategic Analysis



What is our current position?

Strategy Formulation



Which strategy should we choose?

Corporate-Level Strategy



Which businesses should we operate in?

Business-Level Strategy



How should we compete?

Functional-Level Strategy



How should each department support the strategy?

Strategy Implementation



Put the strategy into action.

Evaluation and Control



Measure performance and make corrections.

Quick Revision Table

Concept	Key Meaning
Vision	Desired future position
Mission	Purpose and present activities
Long-Term Objectives	Specific long-term results
Integration Strategies	Control over suppliers, distributors, or competitors
Forward Integration	Control over distributors/customers
Backward Integration	Control over suppliers
Horizontal Integration	Control or merger with competitors
Intensive Strategies	Market penetration, market development, product development
Diversification	Entering new products or markets
Defensive Strategies	Retrenchment, divestiture, liquidation

Concept	Key Meaning
Cost Leadership	Compete through low cost
Differentiation	Compete through uniqueness
Focus	Target a specific market segment
Blue Ocean Strategy	Create uncontested market space
Strategic Decision Making	Long-term decisions determining organisational direction

Easy Memory Tricks

Intensive Strategies – MPD

Market Penetration

Market Development

Product Development

Integration Strategies – FBH

Forward

Backward

Horizontal

Defensive Strategies – RDL

Retrenchment

Divestiture

Liquidation

Porter's Generic Strategies – CDF

Cost Leadership

Differentiation

Focus

Blue Ocean – ERAC

Eliminate

Reduce

Raise

Create